1495 UNIVERSITY OF ABERDEEN

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ABERDEEN 2040

JB3501 – Business Strategy

The Nature of Strategy

2026

Interesting quotes by Jack Ma

Learning outcomes

- By the end of the class, you will:
  - Evaluate what counts as a strategy by analysing organisational statements or actions.
  - Judge whether these actions reflect coherent strategic intent (trade-offs, fit, and alignment of resources) rather than a list of aspirations.

Strategy as a multidimensional concept

- Strategy provides:

Decision support	Encourages unity and consistency
Coordinating device	Improves decision quality
Target	Mobilise
Motivator	High aspirations lead to performance

Common distinction: Corporate versus business

- Corporate strategy
  - Defines the firm's scope.
  - It takes a portfolio approach by looking at all the firm's businesses to determine how to create value.
  - Decisions include investment in diversification, vertical integration, acquisitions and new ventures, and resource allocation.

Common distinction: Corporate versus business

- Business strategy
  - Concerned with how the firm competes within a particular industry or market.
  - Concerned with competitive advantage over rivals.
  - Decision-making is for an individual business.

Who makes strategy?

- Firms/Organisations
  - A collection of discrete but interrelated economic activities.
  - Economic activities include selling, buying, and manufacturing.
  - Value is created and exchanged between agents.

Why make a strategy?

- A firm's strategy defines its configuration of activities and how they interrelate.
  - Inward configuration – e.g., which activities you do? Which do you outsource? Which activities do you not do?
  - Outward configuration – e.g., which industry do we compete in? Which activities do we carry out for customers? Who are the competitors?

Why make a strategy?

- ❑ Strategy results in performance that keeps the firm in the market.
- ❑ Performance should be measured against competitors (e.g., benchmarking or performance indicators).
  - E.g., If your competitors are doing better than you, you risk **going out of business**.
  - If you outperform competitors, you have a **competitive advantage.**

Competitive advantage

- Competitive advantage results from a firm's ability to perform the required activities at a lower cost or in a unique way that creates value for customers.
- The more value created, the higher the chance of achieving a competitive advantage.
- Two generic ways:
  - Cost leadership – mass production, lower value
  - Differentiation – limited goods, high value

How can we identify a firm's strategy?

- Mission statement – 'Why we exist'
- Statement of principles or values – 'What we believe in or how we behave'
- Vision statement – 'What we want to be'
- Strategy statement – 'What our competitive game plan will be'

How can we identify a firm's strategy?

https://www.mcdonalds.com/gb/en-gb.html

McDonald's – An American multinational and the world's largest fast food restaurant chain by number of locations.

Merck Group – A German multinational science and technology company with a focus on Healthcare, Life Science and Electronics.

Taken from Grant and Jordan (2015)

How can we identify a firm's strategy? [10 mins]

Featured Example 1.1

Statements of company strategy: McDonald's and the Merck Group

McDonald's Plan to Win	The Merck Group's Mission and Strategy
McDonald's brand mission is to be our customers' favorite place and way to eat and drink. Our worldwide operations are aligned around a global strategy called the Plan to Win, which center on an exceptional customer experience – People, Products, Place, Price and Promotion. We are committed to continuously improving our operations and enhancing our customers' experience.	Our aspiration is to make great things happen. With our research-driven specialty businesses, we help patients, customers, partners and the communities in which we operate around the world to live a better life. We achieve entrepreneurial success through innovation.
Plan to Win provides a common framework that aligns our global business and allows for local adaptation. We continue to focus on our three global growth priorities of optimizing our menu, modernizing the customer experience, and broadening accessibility to Brand McDonald's within the framework of our Plan. We believe these priorities align with our customers' evolving needs, and – combined with our competitive advantages of convenience, menu variety, geographic diversification and system alignment – will drive long-term sustainable growth.	Merck focuses on innovative and top-quality high-tech products in the pharmaceutical and chemical sectors. The company's goal is sustainable and profitable growth. Merck intends to achieve this by growing primarily organically and by further developing its competencies, but also by making targeted acquisitions that complement and expand existing strengths in meaningful ways. Building on leading branded products in its four divisions, Merck aims to generate income that is largely independent of the prevailing economic cycles. Moreover, the aim is to further expand the strong market position in emerging markets in the medium to long term.
Source: www.aboutmcdonalds.com	*Source*: www.merckgroup.com

Taken from Grant and Jordan (2015)

Reading [20 mins]: What is Luckin Coffee's strategy?

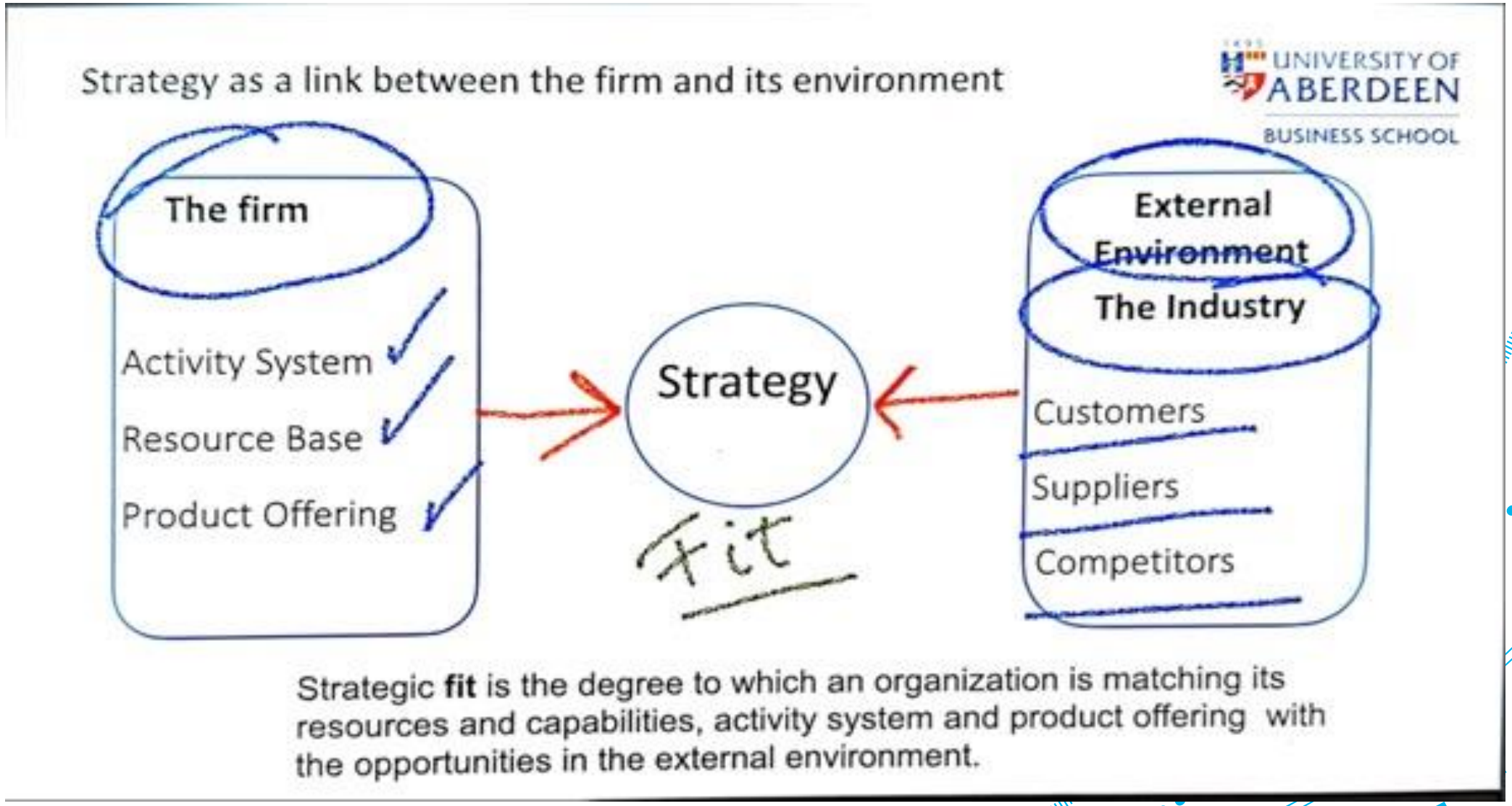
- https://www.researchgate.net/publication/371511621_Analysis_of_Luckin_Coffee_Marketing_Strategy_Based_on_the_4P_Theory

What is Walmart's strategy?

- "Our strategy was to put good-sized stores into little one-horse towns that everyone ignored."

How do we know Walmart's strategy is working?

What is strategic fit?



Strategic fit: The firm

- Activity system
  - A network of interdependent actions, including content, structure, and governance, that connects the firm with its partners and customers. This network serves as the engine for value creation, defining how activities are orchestrated to achieve organisational objectives.

Strategic fit: The firm

- Resource base
  - The essential assets that enable the business model to function effectively, encompassing physical resources (such as facilities), intellectual property (including patents and data), human capital, and financial resources.

Strategic fit: The firm

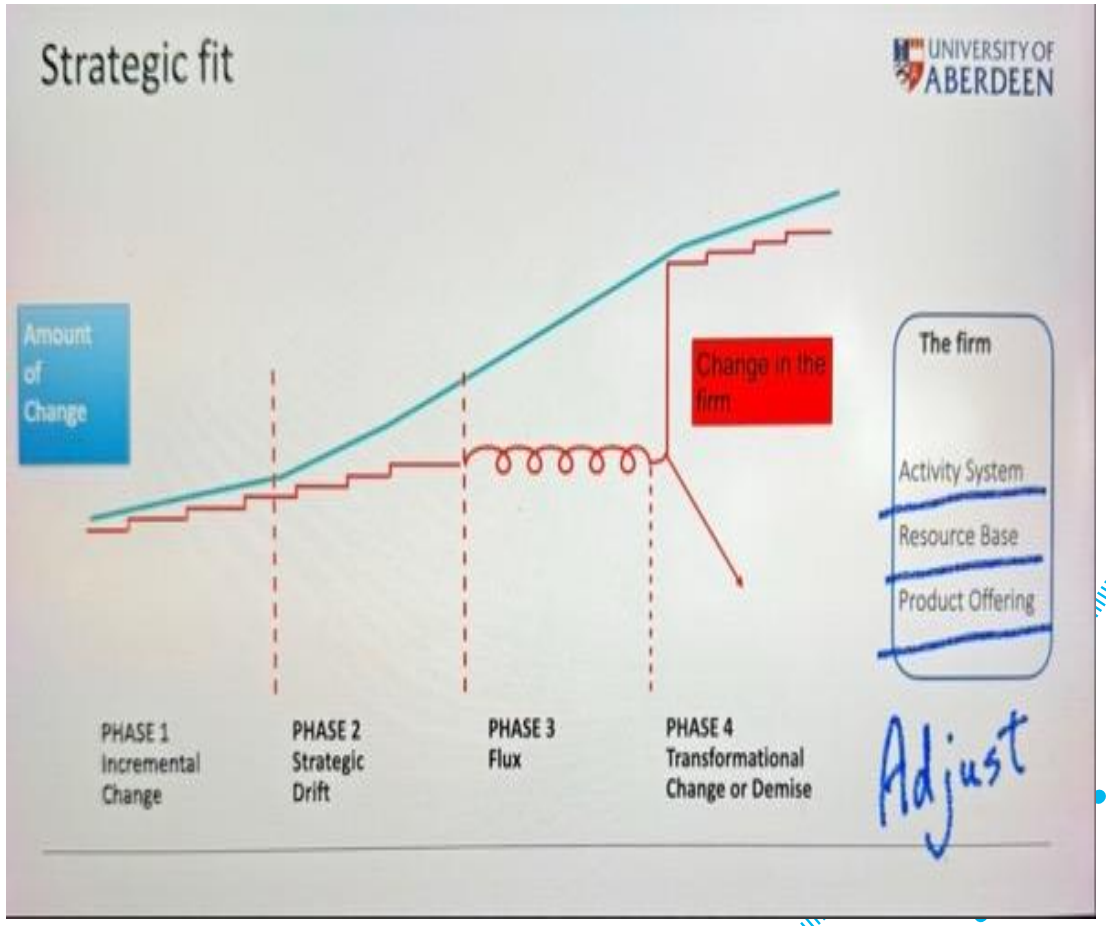
- Product offering
  - The goods or services a company delivers to address customer needs or solve their problems. This offering is the primary reason customers select one company over its competitors.

Strategic importance

- ❑ Value creation
- ❑ Competitive advantages/differentiation
- ❑ Functionality

Strategic drift

- Strategic drift occurs when an organisation's strategy slowly loses alignment with its external environment, such as evolving market trends, technological innovations, or shifting customer expectations, resulting in a growing disconnect between what the organisation does and what the environment demands.



Strategic drift

- Phase 1:
  - The business is aligned with its environment and seems to be doing alright
  - Changes here are gradual and incremental

Strategic drift

- Phase 2:
  - If the business makes decisions that are not aligned with its environment, it begins to drift.
  - The drift can also occur due to environmental changes, such as shifts in customer tastes.

Strategic drift

- Phase 3:
  - There is a lot of turbulence here
  - The business is entirely out of sync with the environment.

Strategic drift

- Phase 4 (two choices):
  - Demise – go out of business (e.g. Nokia)
  - Change – go through a transformational change to re-align the business with the environment (e.g. Amazon)

Strategic drift

- Adjustment takes place:
  - Activity system
  - Resource base
  - Product offering

In summary

- A good strategy requires an understanding of the environment and competitors.
- A good strategy is a guiding policy for dealing – If we want X, how do we go about it?
- A good strategy is a set of coherent actions to carry out– what should we do and when should we do it? (Rumelt, 2012).

Any questions?

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The End!!